

Ocean Two Condominium — Budget Trends 2022–2026

Summary

Between 2022 and 2026 the Ocean Two budget grew from **\$5.54M to \$7.57M (+36.6%)**, an average of 8.1% a year. Owners' fees grew more slowly, **+27.5%** (6.3% a year): the average fee per unit went from about **\$1,788 to \$2,280 a month**. The gap between the two was closed with one-time money.

What drove the changes:

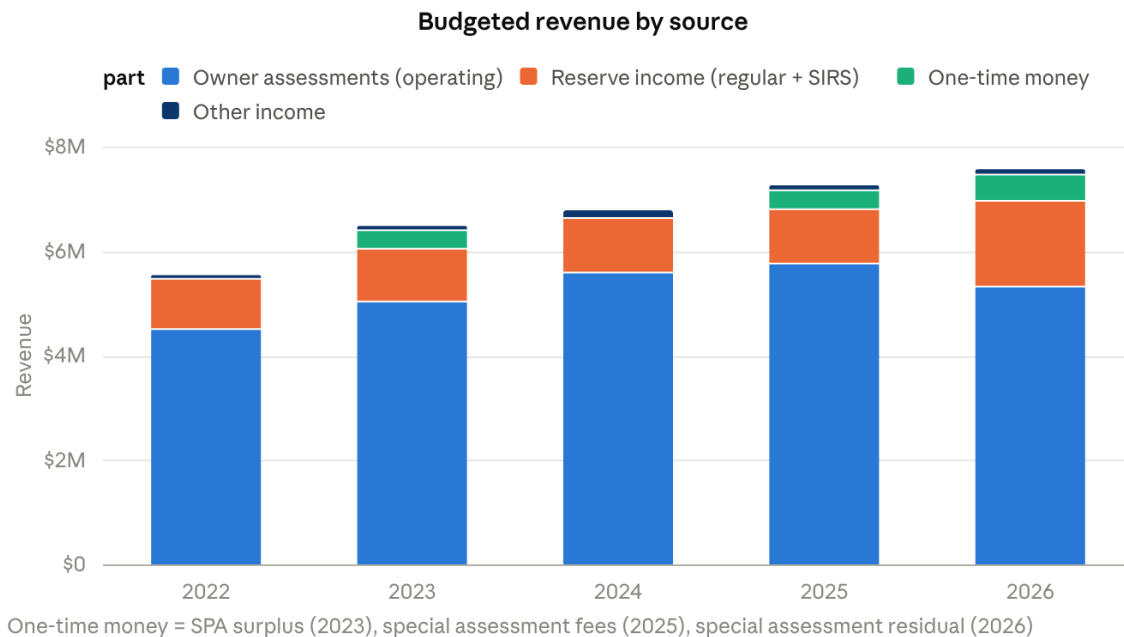
1. **Insurance was the biggest shock.** It tripled from \$804k (2022) to \$2.40M (2025), then fell to \$1.72M in 2026. Its share of the budget went from 14.5% to 33.1%, then back to 22.7%.
2. **One-time money was used in 3 of the 5 years:** \$352,690 of special-assessment surplus in 2023, \$360,000 of special-assessment fees in 2025, and the \$500,000 residual in 2026. This is a pattern, not a single event.
3. **Fee increases were front-loaded.** Fees rose 10.6% in 2023 and 9.8% in 2024, then only 2.6% in 2025 and 2.4% in 2026, the two years supported by one-time money.
4. **Staffing costs fell, then accelerated.** The 13 staffing and service-labor lines dropped 9% in 2023, then rose about 12% in each of 2025 and 2026, reaching \$2.04M.
5. **Reserves were flat for four years** at about \$1M a year, then restructured in 2026: the regular contribution was cut 45% and a new \$1.07M SIRS contribution was added.

All figures are from the five FirstService Residential budget statements ("Year Budget" column) for 2022–2026. They are budgets, not actual spending.

Revenues over time

Owners' fees (operating assessments plus reserve income) supply 92–98% of revenue every year. Their year-over-year growth, and the average fee per unit:

Year	Owner fees (\$)	Change	Avg. fee per unit (\$/month)	One-time money (\$)
2022	5,451,245	—	1,788	0
2023	6,029,100	+10.6%	1,978	352,690
2024	6,618,506	+9.8%	2,171	0
2025	6,787,666	+2.6%	2,227	360,000
2026	6,948,103	+2.4%	2,280	500,000

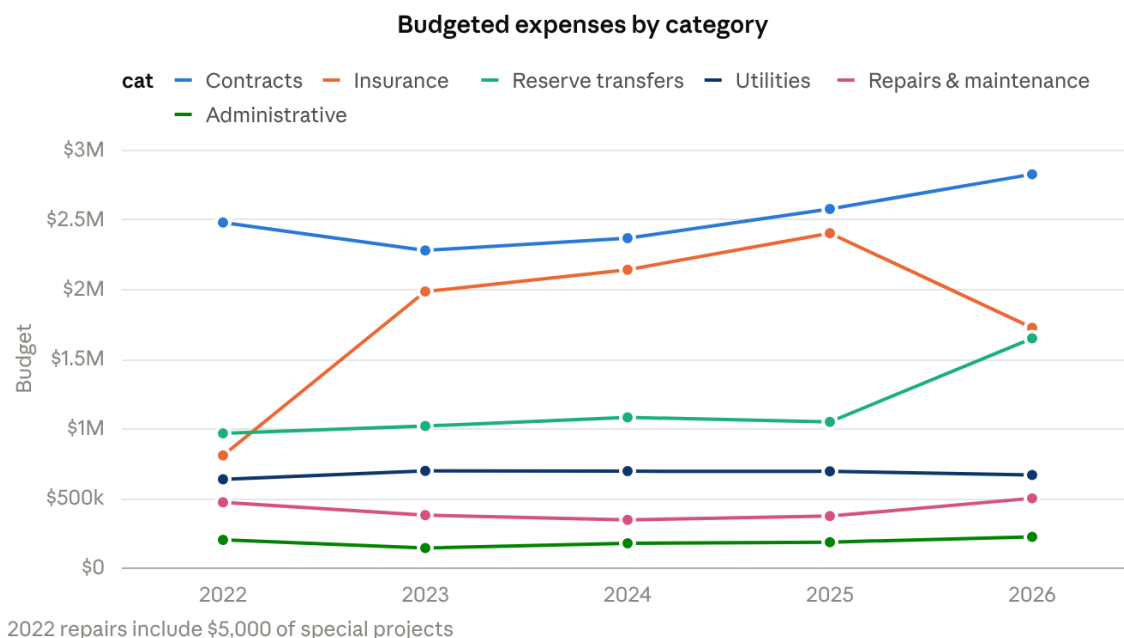


Budget statements 2022–2026, revenue section

The one-time money matters because it lands in the years with the smallest fee increases. Without it, fees would have had to rise about 8.0% in 2025 and 9.7% in 2026.

Other income is small (1.5–2.4% of revenue) and fairly stable. Its notable changes: interest income peaked in 2024 (\$27,500 operating plus \$32,500 reserve interest) and is budgeted at \$15,000 with no reserve interest since; late fees peaked at \$11,800 in 2024; rental income rose from \$56,500 to \$70,000; and moving fees doubled from \$6,000 to \$11,700.

Expenses over time



Budget statements 2022–2026, section totals

Growth over the whole period is measured with the compound annual growth rate, where B is the category's budget:

$$\text{CAGR} = \left(\frac{B^{(2026)}}{B^{(2022)}} \right)^{1/4} - 1$$

Category	2022 → 2026 change	CAGR	Pattern
Insurance	+114%	21.0%	Tripled by 2025, then fell 28%
Reserve transfers	+71%	14.3%	Flat at ~\$1M, then jump with SIRS in 2026
Contracts	+14%	3.3%	Fell in 2023, then rose ~10% a year in 2025–26
Administrative	+11%	2.7%	Fell 30% in 2023, then rose every year
Repairs & maintenance	+6%	1.5%	Cut 2023–24, then +35% in 2026
Utilities	+5%	1.2%	Stable; water & sewer cut 11% in 2026

The day-to-day operating costs (everything except insurance and reserves) were almost flat for four years, from \$3.77M in 2022 to \$3.81M in 2025, then jumped 10.2% to \$4.20M in 2026. In other words, the cost growth in the budget the owners are voting on now is concentrated in a single year.

Most variable budget lines

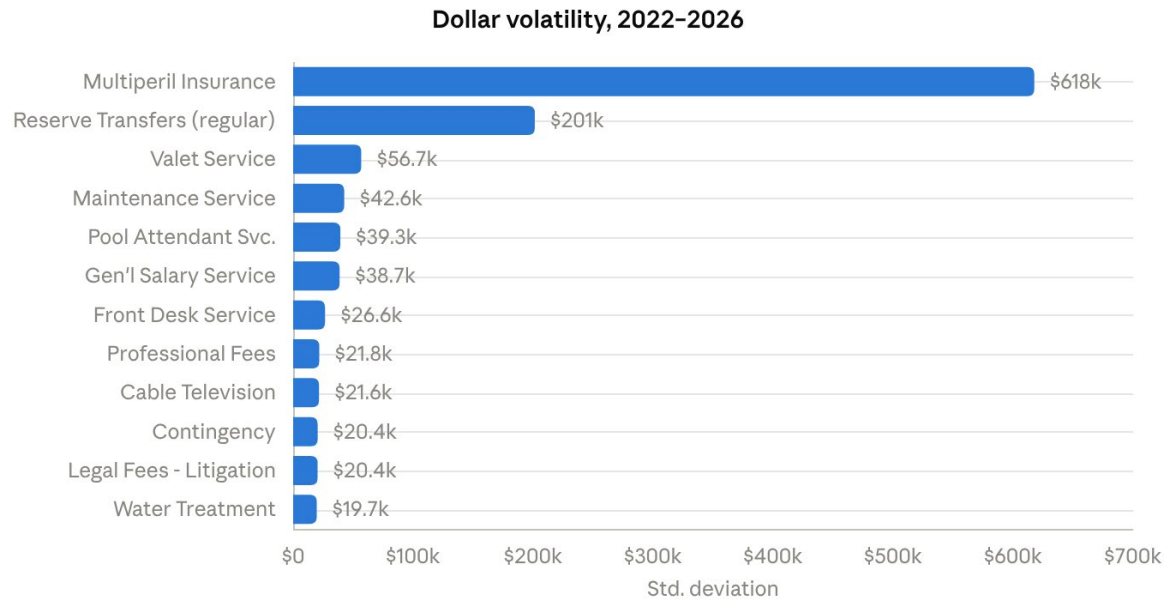
Variability is measured two ways for each line j over the five budgets t = 2022, ..., 2026: the standard deviation s_j shows how many dollars a line moves, and the coefficient of variation CV_j shows how much it moves relative to its own size.

$$\bar{x}_j = \frac{1}{5} \sum_{t=2022}^{2026} x_{j,t}$$

$$s_j = \sqrt{\frac{1}{4} \sum_{t=2022}^{2026} (x_{j,t} - \bar{x}_j)^2}$$

$$CV_j = \frac{s_j}{\bar{x}_j}$$

Largest swings in dollars. Insurance's swing (\$618k) is three times that of the next line. Four staffing contracts (Valet, Maintenance, Pool Attendant, General Salary) are next.



Sample standard deviation of each line across the five budgets; lines averaging \$15k+ only

Budget statements 2022–2026, line items

Largest swings relative to size. The first five lines below changed by several hundred percent with no explanation in the budgets; the last three are the large lines, shown for comparison:

Line	2022	2023	2024	2025	2026	CV
Bonus	1,200	10,000	10,000	20,000	30,000	0.78
Professional Fees	2,000	8,000	42,000	40,000	50,000	0.77
Water Treatment	7,700	8,270	39,078	50,000	40,000	0.68
Legal Fees – Litigation	3,000	50,000	50,000	50,000	40,000	0.53
Contingency	50,000	25,000	25,000	25,000	70,000	0.52
Valet Service	262,000	168,000	174,000	220,000	300,000	0.25
Pool Attendant Svc.	140,000	105,980	122,584	180,000	200,000	0.26
Multiperil	793,562	1,981,221	2,137,882	2,400,000	1,721,446	0.34

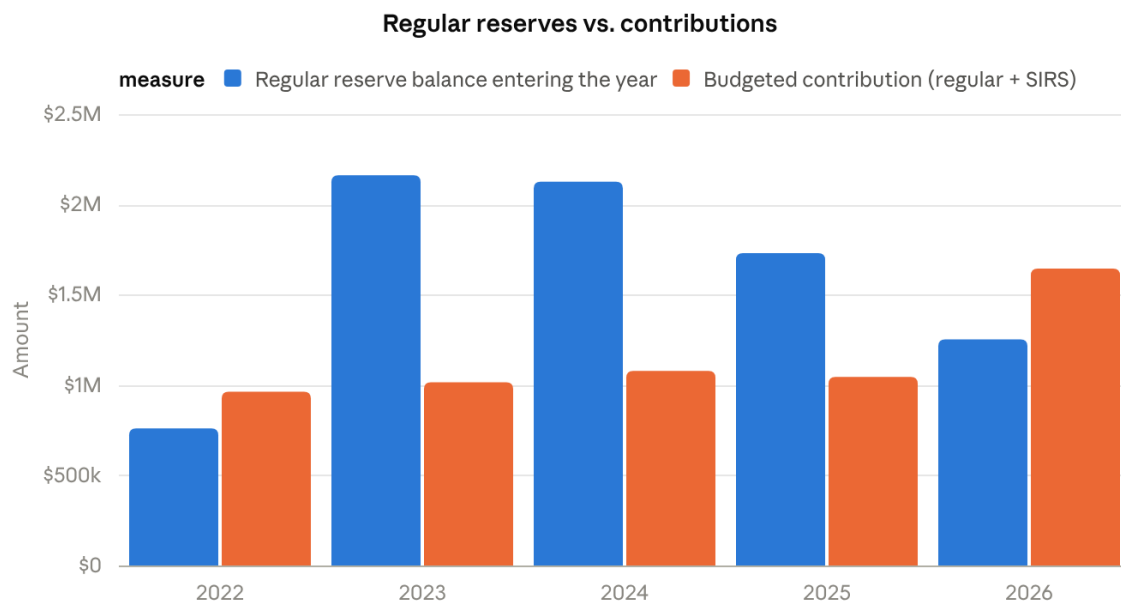
Line	2022	2023	2024	2025	2026	CV
Insurance						

Three observations:

- **Bonus grew 25×** in four years, and Professional Fees 25×, without a description of what they pay for.
- **Litigation jumped from \$3,000 to \$50,000 in 2023** and has stayed high for four budgets, which suggests a long-running lawsuit.
- **Valet and Pool Attendant were cut sharply in 2023, then rose every year**, ending well above their 2022 levels (+15% and +43%).

One apparent swing is only a relabeling: "Security Services" (\$201,600 in 2022) disappeared and "Operations Staff Svc" (\$193,878) appeared in 2023. Combined, that line is stable (CV 0.09) until the 2026 cut to \$159,140.

Reserves over time



Balance = projected year-end balance of the prior year, as printed in each budget package

Pooled reserve schedules in the 2022–2026 budget packages

The regular reserve balance peaked at about \$2.16M at the end of 2022 and has fallen every year since, to \$1.25M, even though about \$1.04M was contributed each year. That means reserve spending grew from about \$1.05M in 2023 to \$1.44M in 2024 and \$1.52M in 2025 (start balance + contribution – end balance), outpacing contributions.

A simple funding ratio, the balance divided by the total replacement cost C of all reserve components:

$$F_{2022} = 3.5\%, \quad F_{2023} = 9.5\%, \quad F_{2024} = 9.3\%, \quad F_{2025} = 7.6\%, \quad F_{2026} = 5.5\%$$

Two things stand out in the reserve schedules:

- **The replacement-cost estimate has not changed since 2023.** It is \$22,846,071 in each of the 2023, 2024, 2025 and 2026 packages, despite construction inflation, which suggests the reserve study has not been updated.
- **The elevators moved from "3–15 years left" (2023) to "2 years left" (2026)** while the funding ratio fell, so the largest single replacement is approaching with the reserve at its lowest level since 2022.

The 2026 SIRS reserve (\$1,072,116 a year) is new and starts from a \$0 balance, so it is not in the balances above.

What this means and questions for the board

Over five budgets, a pattern repeats: when insurance or other costs rise, the gap is filled partly by fee increases and partly by one-time money and by holding reserves flat. That kept fee increases to about 2.4–2.6% in 2025–26, but it leaves the association with a lower reserve balance, an outdated reserve study, and a \$500,000 gap to replace in 2027.

Questions owners can ask:

1. Will the 2027 budget again rely on one-time money? If not, what fee increase is expected?
2. When was the reserve study last updated, and why has the \$22.8M replacement cost not changed since 2023?
3. What was spent from reserves in 2023–2025 (about \$4M in total), and on which components?
4. What do the Bonus and Professional Fees lines (both up 25× since 2022) pay for?
5. What is the litigation that has been budgeted at \$40–50k a year since 2023, and when is it expected to end?
6. Why were Valet and Pool Attendant cut in 2023 and then raised above their 2022 levels?
7. What is the plan and funding for the elevator replacement now shown at 2 years of remaining life?